



ORIENT FINANCE PLC

Unaudited Interim Financial Statements

For the 03 Months Ended 30 June 2017

ORIENT FINANCE PLC
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the 03 Months Period Ended 30 June	2017 Rs. Unaudited	2016 Rs. Unaudited	Variance %
Income	882,804,290	741,071,719	19%
Interest income	848,793,103	701,677,208	21%
Interest expenses	(538,477,496)	(368,795,543)	46%
Net interest income	310,315,607	332,881,665	-7%
Fee and commission income	24,714,572	28,216,292	-12%
Other operating income	9,296,615	11,178,219	-17%
Total operating income	344,326,794	372,276,176	-8%
Impairment charges/(reversal) for loans and receivables to customers	(104,166,822)	(80,324,778)	-23%
Net operating income	240,159,972	291,951,398	-18%
Operating expenses			
Personnel expenses	(93,856,419)	(85,759,509)	-9%
Depreciation and amortization	(5,503,790)	(8,169,333)	48%
Value Added Tax and NBT on financial services	(15,140,382)	(9,466,716)	-37%
Other operating expenses	(116,008,829)	(101,560,496)	-12%
Profit Before Tax	9,650,552	86,995,344	-89%
Income tax expense	(2,874,389)	(13,815,050)	381%
Profit for the period	6,776,163	73,180,294	-91%
<u>Other Comprehensive Income</u>			
Available for sale financial assets - Net change in fair value	1,103,334	4,405,179	-75%
Other comprehensive income for the period	1,103,334	4,405,179	
Total comprehensive income for the period	7,879,497	77,585,473	-90%
		-	
Basic earnings per share (Rs.)	0.05	0.70	
Diluted earnings per share (Rs.)	0.05	0.70	

Figures in brackets indicate deductions.

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

As At	30 June 2017 Rs. Unaudited	31 March 2017 Rs. Audited
ASSETS		
Cash and cash equivalents	180,801,139	107,894,350
Available for sale financial assets	855,032,612	839,887,069
Loans and receivables to customers	15,757,926,796	16,416,103,144
Investments with banks and other financial institutions	347,147,595	369,160,064
Other assets	193,444,703	197,047,025
Real estate stock	22,553,398	22,469,524
Deferred tax asset	272,747,892	275,622,280
Goodwill	564,545,746	564,545,746
Brand value	235,880,000	235,880,000
Intangible assets	105,510	105,510
Property, plant and equipment	422,084,335	421,315,170
Total assets	18,852,269,726	19,450,029,882
LIABILITIES		
Bank overdrafts	335,865,037	598,251,884
Deposits from customers	10,169,388,286	9,565,559,962
Interest bearing borrowings	4,220,582,468	4,815,150,455
Term debts	966,404,966	985,716,469
5 Year, Redeemable Preference shares	420,917,940	406,954,566
Current tax payable	678,921	2,136,340
Other liabilities	183,749,415	530,785,736
Non interest bearing security deposits	735,312	848,126
Retirement benefit obligations	46,340,825	44,899,285
Total liabilities	16,344,663,170	16,950,302,823
EQUITY		
Stated capital	1,378,689,779	1,378,689,779
Statutory reserve fund	306,630,163	305,274,930
Available for sale reserve	(442,258)	(1,545,592)
Revaluation reserve	116,471,908	116,471,908
Retained earnings	706,256,964	700,836,034
Total equity	2,507,606,556	2,499,727,059
Total equity and liabilities	18,852,269,726	19,450,029,882
Net assets per share	16.94	16.89

Figures in brackets indicate deductions.

The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.



Asela Wijayabandara
Asst. General Manager - Finance



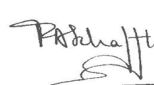
Mayura Fernando
Chief Executive Officer

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.

Approved and signed for and on behalf of the Board;



Dr. Dayanath Jayauriya
Chairman



Prakash Schaffter
Director

Colombo
18-Aug-17

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

For the 03 Months Period Ended 30 June 2017,

	Stated Capital	Statutory reserve fund	Revaluation reserve	Available for sale value reserve	Retained earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 01 April 2016	1,378,689,779	292,391,119	116,471,908	(377,544)	455,805,711	2,242,980,973
Profit for the year	-	-	-	-	73,180,294	73,180,294
Other comprehensive income net of taxes	-	-	-	4,405,179	-	4,405,179
Transfer to statutory reserve	-	14,636,059	-	-	(14,636,059)	-
Balance as at 30 June 2016	1,378,689,779	307,027,178	116,471,908	4,027,635	514,349,946	2,320,566,446
Balance as at 01 April 2017	1,378,689,779	305,274,930	116,471,908	(1,545,592)	700,836,034	2,499,727,059
Profit for the year	-	-	-	-	6,776,163	6,776,163
Other comprehensive income net of taxes	-	-	-	1,103,334	-	1,103,334
Transfer to statutory reserve	-	1,355,233	-	-	(1,355,233)	-
Balance as at 30 June 2017	1,378,689,779	306,630,163	116,471,908	(442,258)	706,256,964	2,507,606,556

Figures in brackets indicate deductions.

ORIENT FINANCE PLC
CASH FLOW STATEMENT

For the 03 Months Period ended 30 June	2017 Rs.	2016 Rs.
Cash flows from operating activities		
Profit before income tax expense	9,650,552	86,995,344
Adjustment for;		
Depreciation / Amortization	5,512,947	8,169,333
Profit on disposal of property, plant and equipment	(43,478)	(5,100,517)
Impairment charge/(reversal)	104,166,822	80,324,778
Finance expenses	538,477,496	368,795,543
Profit on sale of Real Estate	-	-
Investment income	(30,984,934)	(24,688,141)
Provision for gratuity	2,745,615	2,400,434
Operating profit before working capital changes	629,525,020	516,896,774
Change in loans and receivables from customers	554,009,526	(739,470,128)
Change in other receivables	3,602,322	(64,637,999)
Change in deposits from customers	576,416,372	(217,609,081)
Change in other payables	(347,036,321)	258,016,055
Change in non interest bearing security margins	(112,814)	(106,739)
	-	(178,250)
	1,416,404,105	(247,089,368)
Interest paid	(472,269,650)	(406,390,796)
Income tax paid	-	-
Gratuity paid	(1,304,076)	(709,552)
Net cash used in operating activities	942,830,380	(654,189,716)
Cash flows from investing activities		
Acquisition of property, plant and equipment	(6,282,112)	(7,274,120)
Proceeds from sale of property, plant and equipment	43,478	6,717,758
Proceeds from sale of Real Estate Sock	(83,874)	-
Expenses incurred for development of Real Estate	-	-
Net change in available for sale financial assets	(15,145,543)	2,926,512
Net change in investment securities	22,012,469	128,415,716
Investment income received	30,984,934	24,688,141
Payments made to former Orient shareholders	-	-
Net cash generated from investing activities	31,529,352	155,474,007
Cash flows from financing activities		
Interest bearing borrowings obtained	2,291,147,160	2,022,000,000
Repayment of interest bearing borrowings	(2,885,085,497)	(1,611,469,534)
Interest paid for Debentures	(45,127,759)	-
Repayment of Debentures	-	(204,000,000)
Proceeds from Preference shares issue	-	-
Net cash generated from financing activities	(639,066,096)	206,530,466
Net change in cash and cash equivalents	335,293,636	(292,185,243)
Cash and cash equivalents at the beginning of the year	(490,357,534)	(201,695,426)
Cash and cash equivalents at the end of the year (Note A)	(155,063,898)	(493,880,669)
Note A		
Analysis of cash and cash equivalents at the end of the year		
Cash in hand	124,559,696	82,549,518
Cash at bank	56,241,443	43,449,737
Bank overdrafts - secured	(335,865,037)	(619,879,924)
	(155,063,898)	(493,880,669)

Figures in brackets indicate deductions.

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2017. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting. Previous year figures and phrases have been re-arranged wherever necessary to conform to the current presentation.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 3 All known expenses have been provided for in these Financial Statements.
- 4 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2017.

Listed Debenture Information

Debenture	30-Jun-17 Rs	30-Jun-16 Rs
Debentures Issued in 2014	1,000,000,000	1,000,000,000
	<u>1,000,000,000</u>	<u>1,000,000,000</u>

Debenture	30-Jun-17	30-Jun-16
Market Prices - (Highest/ Lowest/ Closing)	N/T*	N/T*
Debt to Equity Ratio (Times)	6.43	2.26
Interest Coverage Ratio (Times)	1.02	1.26
Liquid Asset Ratio	6.50%	20.44%
Interest Rate of comparable Government Securities	11.97%	11.48%
Interest Yield as at Date of Last Trade	N/T*	N/T*
Yield to maturity as of Last Trade	N/T*	N/T*

* N/T - Not Traded

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

<u>Stated Capital</u>	30-Jun-17	30-Jun-16
Value of Ordinary Shares (Rs.)	1,378,689,780	1,378,689,780
No. of Ordinary Shares	148,018,370	148,018,370

Share Price During the Period	For the Quarter Ended 30-Jun-17	30-Jun-16
Highest (Rs)	12.70	17.50
Lowest (Rs)	9.50	12.50
Closing (Rs)	11.00	14.60

ORIENT FINANCE PLC**NOTES TO THE FINANCIAL STATEMENTS****Shareholders as at 30 June 2017**

	Name	No. of Shares	%
1	Janashakthi PLC	132,940,720	89.81
2	B G Investments (Pvt) Ltd	4,657,594	3.15
3	Dunamis Capital PLC	2,383,862	1.61
4	First Capital PLC	1,556,778	1.05
5	Seylan Bank Plc/ Shashimaal Ruhash Fernando	610,503	0.41
6	Rosewood (Pvt) Ltd	600,000	0.41
7	Code-Gen International Pvt Limietd	484,400	0.33
8	Asset Trust Management (Pvt) Ltd	333,300	0.23
9	Commercial Credit And Finance Plc	330,000	0.22
10	Mr. Dinith Yasantha Pathiraja	300,000	0.20
11	Seylan Bank Plc / Lasantha Chandika Ranaweera	145,001	0.10
12	Mr. Raveen Arifeen	140,371	0.09
13	Mr. Kosgallana Durage Ananda Weerasinghe	133,400	0.09
14	Mr. P.A.G.W. Banda	104,016	0.07
15	Colombo Trust Finance PLC/S. Nadesen	103,193	0.07
16	K.M.D.N.Kulasekara	100,000	0.07
17	Mr. Nilan Asela Saipath Wickramasinghe	100,000	0.07
18	Mr. Harindra Janaka Herath	75,000	0.05
19	MBSL/ S.K.D.Chandrasiri	69,731	0.05
20	K.D.A.Hettiarachchi	66,700	0.05
	Others	2,783,801	1.88
	Total	148,018,370	100.00

Directors' Shareholding as at 30 June 2017

	Name of the Director	No. of Shares	%
1.	Dr. D.C. Jayasuriya PC - Chairman	-	-
2.	Mr. Prakash Schaffter	10	-
3.	Mrs. Lakshmi K. Gunatilake	-	-
4.	Mr. Ananda W. Atukorala	-	-
5.	Mr. K. M. A. T. B. Tittawella	-	-
6.	Ms. Minette D. A. Perera	-	-
7.	Ms. Indrani Goonesekara	-	-
8.	Mr. Ramesh Schaffter (Alternative Director to Mr. Prakash Schaffter)	10	-
		-	-
	Total	20	-

CEO's Shareholding as at 30 June 2017

Mr.Mayura Fernando	-	-
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Public Holding as at 30 June 2017

Number of Public Shareholders	15,077,610	10.18
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ORIENT FINANCE PLC
FIANANCIAL REPORTING BY SEGMENTS
Business Segments

The company has two reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, and are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

Hire purchase, finance leasing and loans - Provision of hire purchase and leasing facilities to customers

Factoring - Debt factoring

For the 03 Months Period Ended 30th June	Finance leases, hire purchases and loans		Factoring		Unallocated		Total	
	2017	2016	2017	2016	2017	2016	2017	2016
	Rs	Rs	Rs	Rs	Rs	Rs	Rs	Rs
Interest income	746,623,663	628,421,804	68,229,517	48,092,149	33,939,923	475,114	848,793,103	676,989,067
Fee and commission income	13,176,960	17,111,598	11,162,227	11,104,694	375,385	-	24,714,572	28,216,292
Other income	7,740,600	5,513,480	-	-	1,556,015	30,352,880	9,296,615	35,866,360
Total segmental income	767,541,223	651,046,882	79,391,744	59,196,843	35,871,323	30,827,994	882,804,290	741,071,719
Less: Interest expense	(488,255,864)	(336,499,754)	(48,489,403)	(32,104,039)	(1,732,229)	(191,750)	(538,477,496)	(368,795,543)
Segmental results	279,285,359	314,547,128	30,902,341	27,092,804	34,139,094	30,636,244	344,326,794	372,276,176
Depreciation and amortization	(4,990,474)	(6,092,070)	(495,611)	(58,389)	(17,705)	(2,018,874)	(5,503,790)	(8,169,333)
Impairment charge/(reversal)	(95,380,966)	(77,703,641)	(9,153,576)	(1,786,781)	367,720	(834,356)	(104,166,822)	(80,324,778)
Other Expenses	(112,002,634)	(75,641,692)	(7,893,191)	(6,892,453)	(105,109,805)	(114,252,576)	(225,005,630)	(196,786,721)
Income tax	-	-	-	-	(2,874,389)	(13,815,050)	(2,874,389)	-
Profit after tax	66,911,285	155,109,725	13,359,963	18,355,181	(73,495,085)	(100,284,612)	6,776,163	73,180,294
Segmental assets	14,288,248,296	13,228,806,023	1,418,986,811	1,262,105,239	3,145,034,618	3,096,789,373	18,852,269,726	17,587,700,635
Segmental liabilities	72,271,589	755,823,597	-	-	16,272,391,581	14,511,310,592	16,344,663,170	15,267,134,189